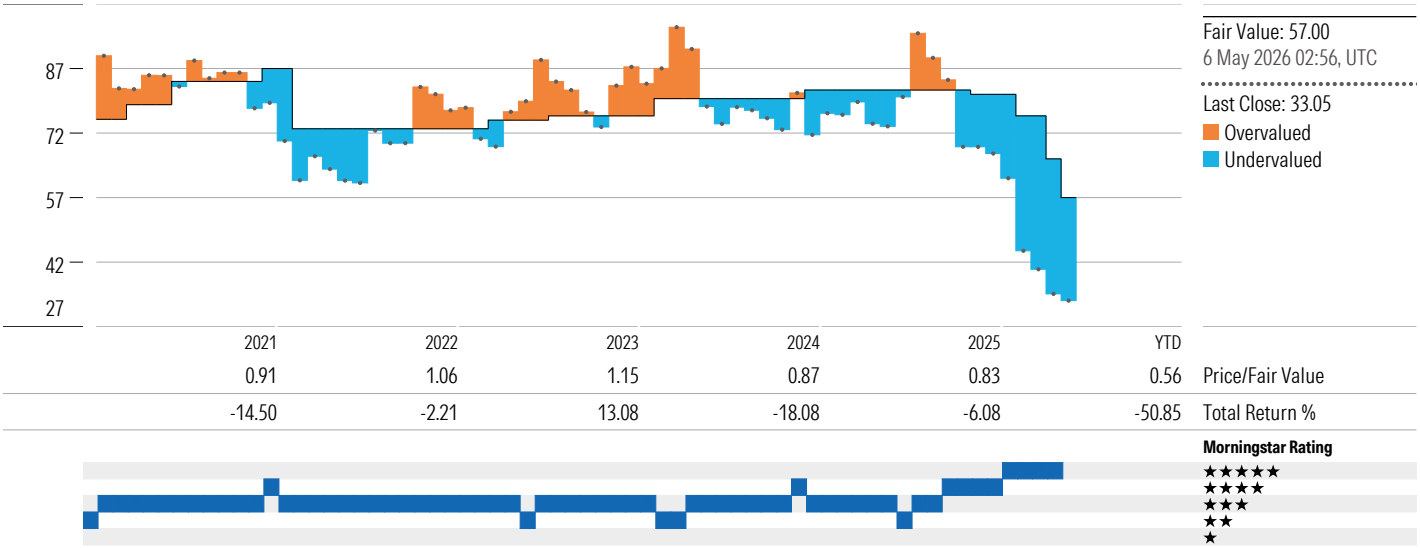
CoStar Group Inc CSGP ★★★★★ 13 May 2026 21:24, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
33.05 USD 12 May 2026	57.00 USD 6 May 2026 07:56, UTC	0.56	13.06 USD Bil 13 May 2026	Narrow	Mid Growth	High	Standard	13 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.91	1.06	1.15	0.87	0.83	0.56
Total Return %	-14.50	-2.21	13.08	-18.08	-6.08	-50.85

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 12 May 2026. Last Close as of 12 May 2026. Fair Value as of 6 May 2026 02:56, UTC.

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Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

CoStar Group: Lowering our Fair Value Estimate After a Fresh Look; Shares Still Appetizing

Analyst Note Austin Taggart, CFA, Equity Analyst, 6 May 2026

We're transferring coverage of CoStar Group, a diversified real estate services firm that operates predominantly in North America, to a new analyst.

The bottom line: We're reducing our fair value estimate to $57 from $66, lowering our Morningstar Economic Moat Rating to narrow from wide, raising our Uncertainty Rating to High from Medium, and maintaining our Standard Morningstar Capital Allocation Rating.

- Roughly two-thirds of the valuation cut can be attributed to downgrading our moat rating to narrow from wide, while a slightly less constructive view of operating margin expansion effectively explains the rest.
- Despite lowering our fair value estimate and moat rating, we believe shares are highly attractive at current valuations, offering a compelling opportunity for patient, long-term investors to build a stake in a resilient compounder with 60 consecutive quarters of double-digit revenue growth.

Long view: Shares are down nearly 66% since August, attributable to exuberant spending and lackluster results in scaling the Homes.com business, but the core research platform and other marketplaces should recapture the narrative as net investment in Homes.com declines by $300 million in 2026.

- Apartments.com, the firm's largest revenue source in the residential segment, is the undisputed

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Sector Real Estate

Industry Real Estate Services

Business Description

leading apartment rental marketplace, boasting 2.3 times higher revenue and 40% higher monthly unique visitors than its closest peer, with a long growth runway. The marketplace has only 17% revenue penetration in complexes with 50-200 units.

- CoStar Suite, the firm's second-largest revenue source, enjoys strong pricing power, operating as a toll booth for CRE market intelligence. We forecast this strength to persist despite the proliferation of artificial intelligence tools, as roughly 75% of CoStar Suite's 2.4 trillion data points do not exist in the public domain.

Business Strategy & Outlook Austin Taggart, CFA, Equity Analyst, 6 May 2026

CoStar Group operates as the premier provider of real estate information, analytics, and online marketplaces globally. Throughout its 39-year history, the highly successful serial acquirer has adeptly integrated major acquisitions, demonstrating an exceptional track record of value creation through transformative purchases such as LoopNet and Apartments.com.

The firm's flagship commercial real estate data business leverages the industry's largest research department to continually expand an unmatched proprietary database, delivering mission-critical intelligence to brokers, property owners, lenders, and tenants through its CoStar Suite platform. We believe management recognizes that this business is the cornerstone of its ecosystem and will continue to invest accordingly to maintain its competitive advantage. The rest of the CRE franchise comprises a mix of platform services and marketplaces, highlighted by LoopNet, the most-trafficked global CRE property marketplace. Due to the capital-light and synergistic nature of the rest of the portfolio, we believe management will continue to find additive ways to capture and monetize CRE data, both organically and through acquisition, to create shareholder value.

Within the residential real estate segment, the multifamily business, Apartments.com, is the largest revenue source for the firm. With the highest web traffic in the category, we believe the business still has a long growth runway to penetrate complexes under 200 units, with the 50-200 category standing out as an area where the firm has a "right to win." The single-family residential business, Homes.com, remains a speculative play in which management has sunk exorbitant capital. It utilizes a subscription model geared toward listing agents, with its sights set on upending industry incumbents. While we remain skeptical of the firm's ability to reach its EBITDA breakeven target by 2030, and of this endeavor's ability to generate maintainable economic profit over the next decade, we note that it has been largely funded by excess cash and is not depriving other segments of the opportunity to continue to blossom.

Bulls Say Austin Taggart, CFA, Equity Analyst, 6 May 2026

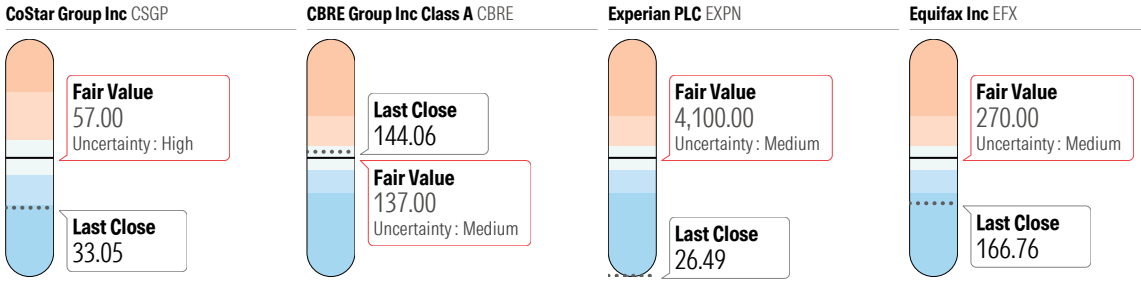
- Expanding the Apartments.com network to smaller property owners, a largely untapped market for the firm that represents roughly two-thirds of the total addressable market, could provide tremendous

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Competitors



	CoStar Group Inc CSGP	CBRE Group Inc Class A CBRE	Experian PLC EXPN	Equifax Inc EFX
Economic Moat	Narrow	Narrow	Wide	Wide
Currency	USD	USD	GBP	USD
Fair Value	57.00 13 May 2026 16:24, UTC	137.00 13 May 2026 16:26, UTC	4,100.00 12 May 2026 21:39, UTC	270.00 13 May 2026 16:24, UTC
1-Star Price	88.35	184.95	5,535.00	364.50
5-Star Price	34.20	95.90	2,870.00	189.00
Assessment	Undervalued 13 May 2026	Fairly Valued 13 May 2026	Undervalued 13 May 2026	Undervalued 13 May 2026
Morningstar Rating	★★★★★13 May 2026 05:00, UTC	★★★13 May 2026 05:00, UTC	★★★★★12 May 2026 05:00, UTC	★★★★★13 May 2026 05:00, UTC
Analyst	Austin Taggart, Equity Analyst	Sean Dunlop, Director	Rajiv Bhatia, Equity Analyst	Rajiv Bhatia, Equity Analyst
Capital Allocation	Standard	Standard	Standard	Exemplary
Price/Fair Value	0.56	1.03	0.65	0.59
Price/Sales	3.95	1.00	4.00	3.13
Price/Book	1.64	4.83	6.03	4.20
Price/Earning	532.83	32.04	23.35	28.21
Dividend Yield	0.00%	0.00%	1.77%	1.20%
Market Cap	13.06 Bil	41.18 Bil	2,264.56 Bil	19.04 Bil
52-Week Range	31.78—97.43	118.81—174.27	2,353.00—4,101.00	157.59—281.03
Investment Style	Mid Growth	Mid Blend	Large Growth	Mid Blend

upside.

- Incorporation of AI and automated data-fees in the CRE research business could enable the firm to operate with significantly lower headcount than we forecast, lifting operating margins.
- By owning a superior repository of verified data, the firm could improve monetization by training and rolling-out AI products and solutions specific to CRE that exhibit lower data hallucination.

Bears Say Austin Taggart, CFA, Equity Analyst, 6 May 2026

- Large-scale data sharing arrangements between CRE brokers, lenders, and/or upstart data providers could disrupt the core CRE business.
- The firm could continue a relentless push into single-family residential real estate without meaningful progress, weighing down margins and risking a proxy fight.
- The firm's dominance within the CRE landscape could invite regulatory attention that threatens its pricing power.

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Economic Moat Austin Taggart, CFA, Equity Analyst, 6 May 2026

We believe that CoStar Group has carved out a narrow Morningstar Economic Moat around intangible assets, in the form of an industry-leading proprietary database in commercial real estate and a network effect across the commercial real estate and multifamily businesses, which combine to underpin our belief that the firm is more likely than not to generate risk-adjusted economic profits over the decade to come. Quantitatively, our view is corroborated by average adjusted returns on invested capital of 10.3% over the trailing decade, exceeding our estimated 8.2% cost of capital, which we believe has been materially dampened in recent years by the "goodwill drag" associated with larger acquisitions and exuberant spending toward scaling the Homes.com business. Looking ahead, we forecast ROICs to modestly improve to 12.0% over the next decade as the integration period for these acquisitions plays out and the profitability of the residential real estate business improves relative to current levels.

CoStar Group broadly segments its enterprise into commercial real estate, or CRE, and residential real estate, though we note that each of those broad segments can be decomposed further as some business lines are particularly mature and moaty, while others are more uncertain and potentially capital-destructive. Broadly speaking, we see the CRE franchise and multi-family residential business as particularly dominant, and responsible for propelling the strong return profile of the firm, although we have witnessed a material shift in priority and capital deployment over the past few years toward the predominantly single-family residential real estate business, namely Homes.com, where we ultimately question Costar's capability to disrupt Zillow's positioning. More importantly, we question if the prize for successfully doing so would be greater than simply focusing on the core CRE and multi-family residential real estate franchises. Said otherwise, we remain skeptical that Costar's recent endeavors in single-family residential real estate will result in capturing a critical threshold of market share from Zillow in a reasonable time horizon, and more importantly, we do not view successfully doing so as a materially better outcome than the hypothetical scenario where the firm never entered this market in the first place. That said, we believe the CRE franchise and multifamily residential marketplace businesses are so profitable and difficult to displace that they provide us with sufficient conviction in the firm's ability to generate ROICs that exceed its cost of capital over the cycle.

Before proceeding to dissect the CRE franchise, we think it's important to note that while the underlying business lines that comprise the segment are individually attractive, we believe there are strong synergistic aspects to the ecosystem that arise from the formation of a closed-loop data factory, effectively making the whole greater than the sum of its parts. While this segment consists of a private research platform, a public-facing marketplace, and a tail of smaller business lines that enable further data-gathering and monetization, we believe the former two, which comprise 88% of segment revenue, are what long-term investors should focus on as they ultimately drive the trajectory of the CRE franchise.

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The private research platform, comprising the flagship CoStar Suite product, is the main attraction for the CRE franchise, leveraging an unparalleled repository of 2.4 trillion data points across more than 8.5 million properties to provide underwriters with depth and breadth of high-quality, mission-critical data that no competitor comes close to matching. While other competitors are proficient at providing data for some verticals or niche markets, no competitor currently comes close to replicating the comprehensiveness or history that Costar Suite can, which we believe makes competitor offerings closer to supplements than true replacements. which is why we're not surprised that 99% of the top 100 CRE brokerages are CoStar subscribers (source: 2021 CoStar Marketing Brochure). We believe this culminates in an intangible asset moat source that presents significant pricing power, evidenced by annualized price increases of 5.6% since 2015, outpacing inflation by 230 basis points annually over that period, per our estimates. We believe this data advantage is highly defensible; the firm reports that only 25% of the 2.4 trillion data points are available on marketing portals, making it difficult for startups to replicate CoStar's offering by merely scraping publicly available data (fourth-quarter 2025 earnings transcript). For the 75% of data points that are only accessible within the suite, the firm has particularly restrictive terms of service that specifically outlaw scraping and are highly litigious toward offenders, most recently on display in CoStar vs Commercial Real Estate Exchange, or CREXi, when a competitor copied thousands of images from its database and simply cropped the CoStar logo. To further safeguard, the firm has spent millions on a security stack to detect any user scraping data within the suite, in addition to inserting fake properties with unique, nonexistent attributes to provide itself with a "smoking gun" in the event these appear on a competing platform. Beyond protecting the database from the exogenous threat of scraping, the firm continually expands its data collection, raising the cost for a competitor seeking to organically create a comparable offering. It achieves this by employing an army of over 1,500 researchers to call and email brokers and property owners every day about leasing data, to physically inspect properties, to verify automated data collected from brokers, and to review court filings and tax assessor records. In short, the CoStar research platform has a significant head start in collecting commercial real estate data, continually reinvests in the franchise to maintain this advantage, and has taken extensive precautions to prevent competitors from closing the gap.

The CRE research platform also benefits from network effects associated with data sharing, as the breadth of data improves with each additional user, which in turn makes the platform more attractive to users. The usefulness of the platform is magnified by user type diversity, as the accumulation of complete data, including transaction details and operating metrics from brokers and property owners, to financing terms from lenders, forms a multifaceted collection that aids a wide breadth of clients in executing a wide variety of use cases. For CRE brokers who compete with one another for deal flow and hiring on the basis of reputation and domain expertise, the CoStar Power Broker Awards function similarly to league table standings in investment banking, measuring executed deal counts and volumes across a variety of metrics. Finishing higher in the Power Broker list bolsters reputations and improves visibility, particularly because institutional owners often use it as a shortlist when looking for

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a broker in a new market. Even for smaller brokers who excel in hyper-specific niches that are unlikely to win Power Broker awards, property owners and potential investors still search for comparables and similar deal flow when deciding on a broker for a transaction. These dynamics ultimately incentivize firms to submit all deal flow into the system, to which CoStar Group requires official deal sheets for verification, ensuring continual receipt of full details even for off-market transactions. CoStar Group further utilizes individually negotiated pricing and data contribution agreements that present larger data providers with preferred pricing, higher-tier support, and specialized enterprise features to ensure the flywheel stays in motion, though CoStar remains well positioned to avoid material concessions when discounting because no customer accounts for more than 2% of consolidated revenue (fourth-quarter 2024 earnings presentation). We view this flywheel as highly defensible against AI because the data feeds and term sheets go straight into the CoStar Suite without touching the public domain, which prevents LLMs or competing research platforms from accessing the data. In addition, the terms of service and data contribution agreements grant CoStar ownership of the data. We believe this defensibility, in the face of increasing utilization of AI solutions, has been well demonstrated by renewal rates remaining at 92% (first-quarter 2026 earnings transcript).

The CRE franchise benefits from further network effects by operating the largest global CRE marketplace, Loopnet, which has 83 times as many unique visitors as the average CRE marketplace competitor and 6 times as many as the closest competitor (fourth-quarter 2024 earnings presentation). Contrary to the revenue models of most digital marketplaces, in which value is captured through a take rate on transaction volume, LoopNet uses visibility gating in a subscription-based freemium model: searching is free for buyers, but sellers pay for higher visibility through a series of escalating subscription tiers. The platform's incremental value to CRE brokers and property owners increases with each unique visitor, as more potential bidders translate into higher transaction values. By attaining an insurmountable lead in unique visitors, sellers can garner significantly more visibility than utilizing a large combination of competitor platforms, and increased supply attracts more unique visitors to the platform, creating a positive feedback loop that lends itself to winner-take-all or winner-take-most outcomes for the industry, further solidified by the fact that LoopNet searchers comprised over 90% of all CRE transaction volume in 2024 (source: LoopNet website). Ultimately, this network effect has culminated in improved monetization capabilities alongside its growth, evidenced by the business growing revenue at 9.4% annualized since 2020, driven by a 7.9% increase in unique monthly visitors and a 1.4% increase in average revenue per visitor. While powerful network effects and a capital light business model create a strong return profile for the business in isolation, we believe the value is even greater within the CoStar Group ecosystem because ownership of the largest marketplace and its data eliminates one of the greatest competitive threats to its market research platform, enabling it to be a bit more aggressive on pricing in that business line while providing access to a large base of customers to upsell with its flagship market research products.

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Shifting gears to the residential real estate franchise, we believe that the apartment rental marketplace, or the multifamily business, has carved out a network effects moat, whereas the single-family business, is on the outside looking-in relative to an incumbent that seems to enjoy network effects, ultimately leading us to struggle in awarding this segment a moat and viewing the consolidated entity as a narrow as opposed to a wide moat company.

The multifamily residential business, namely the apartments.com network, is the industry leader in the online rental marketplace space, responsible for $1.06 billion in revenue and 43 million unique monthly visitors in 2024, nearly 2.3 times the revenue and 1.4 times the potential buyers of its closest competitor, Zillow Rentals. We find the dominance of the apartments.com network particularly interesting because it has largely ignored appealing to property owners with less than 50 units, evidenced by achieving merely 1% revenue penetration in this category, which comprises two-thirds of the total addressable market, or TAM, for apartment rentals (fourth-quarter 2024 earnings presentation). We believe this captures just how formidable the apartments.com network has been at appealing to larger, institutional property owners, which we attribute largely to being a pioneer of the subscription-tier model in this space, as well as to fostering a better user experience in the earlier innings of the online apartment rental industry. Further, we do not see the critical mass of institutional clients unwinding even as competitors increasingly mimic its monetization model, as significantly higher demand aggregated on the platform makes it a materially more attractive provider than even a combination of competitors, creating a difficult-to-disrupt flywheel effect. We believe this has been demonstrated by annualized revenue growth, monthly unique visitor growth, and customer growth of 20.8%, 26.8%, and 15.3%, respectively, since 2015. Most importantly in demonstrating that the firm uses this network effect to improve its return profile is that the firm has increased its average revenue per customer by 60% over the trailing decade through a combination of up-selling higher-tier subscription packages and raising prices on each subscription tier, despite the cost to serve each incremental customer being lower than the last due to the largely fixed costs associated with building and maintaining an online marketplace. Looking ahead, we believe the firm would likely be capable of using its advantaged positioning in garnering web traffic and tweaking its payment model for smaller landlords to capture wallet share in this category, although we feel confident in the business line maintaining a structural advantage for the foreseeable future with just its current posture in the institutional category.

CoStar entered the single-family residential business through an acquisition in 2020 and has increasingly prioritized it, arguably to the point of excess, dampening the otherwise strong return profile of the consolidated entity. While we understand the allure of the much larger addressable market, given that the home ownership rate of 65.3% (source: Federal Reserve Bank of St. Louis) implies that there are nearly double the number of homeowners as renters, we believe that CoStar Group currently lacks any maintainable competitive advantage in this space and is up against an incumbent that aggregates nearly double the demand of potential buyers. In residential real estate, the data of

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owned properties up for sale is a cooperative utility, where every broker in an area is contractually mandated to feed their inventory into the centralized multiple listing service, or MLS, which prevents platforms like Homes.com, Zillow, or Redfin from gaining access to exclusive inventory. This contrasts sharply with the advantage that CoStar Group enjoys in the CRE or multi-family rental marketplace, as property owners choose which platform or marketplace to advertise properties for sale or vacant apartments, enabling marketplaces that win the supply-side battle to better differentiate themselves from competitors in attracting potential buyer traffic. While Homes.com is trying to differentiate its platform from Zillow by monetizing brokers in a way that is distinctly preferable for more established agents with higher business mixes on the listing side of the aisle, we believe that the amount of progress made chipping into Zillow's web traffic has been lackluster relative to the exorbitant capital spent on it, demonstrating that the unwind of incumbent network effects is highly difficult, even for a firm like CoStar Group that has deeper pockets and a potentially preferable revenue model to brokers than the incumbent Zillow. While we are encouraged to see the firm reducing its net investment in Homes.com by $300 million, or 35.2%, in 2026, which should begin to improve returns on capital for the consolidated entity, we still note that management has continually fallen short of profitability goals laid out for this business and currently does not forecast this business to be EBITDA positive until 2030 (January 2026 Investor Presentation), let alone generating risk-adjusted economic profit. Even if the Homes.com network can upend Zillow's dominance at some point in the future, we ultimately think the ceiling for profitability in a single-family residential marketplace is lower than in other developed countries due to the MLS system (a rather unique feature of the US residential real estate market) preventing unfettered pricing power on listings, in addition to revenue being capped by the profit pools of the real estate agent commissions. We believe this is best illustrated by the fact that Zillow has been building its network for two decades, enjoys double the monthly unique visitors as the second-largest player, and is still barely profitable.

Tying our thoughts together, we believe that CoStar Group enjoys durable competitive advantages across its entire CRE franchise, derived from an intangible asset in the form of a proprietary data advantage relative to its competitors and network effects across the research data platform and the CRE marketplace, LoopNet, as both user growth improves the quality of the offerings, which in turn attracts more users, for both businesses. The residential real estate segment enjoys similar network effects in the multifamily apartment rental business through its industry-leading apartments.com network, though we struggle to assign a moat to the segment due to continued capital destruction in the single-family residential business, which drags down the segment's return profile and introduces greater uncertainty in outcomes. Though we certainly see a path in which CoStar Group materially exceeds its cost of capital over the next 20 years, we believe that a narrow moat rating is more appropriate given the current state of the single-family residential business.

Fair Value and Profit Drivers Austin Taggart, CFA, Equity Analyst, 6 May 2026

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CoStar Group Inc CSGP ★★★★★ 13 May 2026 21:24, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
33.05 USD 12 May 2026	57.00 USD 6 May 2026 07:56, UTC	0.56	13.06 USD Bil 13 May 2026	Narrow	Mid Growth	High	Standard	13 May 2026 05:00, UTC

We are lowering our fair value estimate for CoStar Group to $57 from $66, largely attributable to lowering our moat rating to narrow from wide, in addition to a slightly less constructive view regarding operating margin expansion over the cycle.

The moat rating downgrade reduced the time we forecast returns on newly invested capital to exceed its cost of capital to 15 years from 20, which explains roughly two-thirds of the reduction in our fair value estimate, despite similar growth assumptions after year 10.

Our less constructive view on operating margin expansion was driven predominantly by higher forecast research and development costs, as the firm maintains a more robust digital infrastructure footprint to support its transition from predominantly maintaining databases to providing a computational layer of AI-enabled functionalities and machine learning. After acquiring Matterport in 2025 to process and host millions of digital twins across its residential and commercial businesses, we believe the compute power needed to render and analyze three-dimensional data will materially increase its research and development costs, now calling for these expenses to grow at an annualized rate of 9.6% over the next decade, up from 6.5%. Our forecasts now call for midcycle operating margins of 30.4%, down from 33.9%.

The improved product and service offering associated with these capabilities, however, translates into faster revenue growth as the firm leverages these new capabilities to expand its customer base and raise prices, leading us to raise our annualized revenue forecast to 12.1% over the cycle, up from 11.7%.

For the CoStar business, which combines the CoStar Suite and the collection of businesses that comprised the legacy information services segment, we forecast 8.9% annualized growth over the cycle, underpinned by mid-single-digit price increases and modest subscriber growth.

For the LoopNet business, the core CRE marketplace, we forecast compounded revenue growth of 14.4%, driven by continued subscriber growth as the firm increases its international CRE presence, modest price escalation, and improved mix shift as existing users pay for higher-tier subscription packages.

For the residential real estate segment, comprised most notably of Apartments.com and Homes.com, we forecast revenue growth of 14.0% over the cycle, driven by rapid scaling of the Homes.com platform as it increases penetration from its current subscriber base of 35,000 subscribers among its total addressable market of 500,000 agents. For Apartments.com, we forecast 13.0% annualized growth over the next decade, driven by modest increases in both price escalation and up-sell on existing clients, with which it maintains a 99% retention rate, in addition to mid-single digit customer growth as the firm increases its penetration among complexes with under 200 units.

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Risk and Uncertainty Austin Taggart, CFA, Equity Analyst, 6 May 2026

We assign CoStar Group a High Morningstar Uncertainty Rating, based on our qualitative assessment of its risk exposures and our quantitative methodology.

For a company whose greatest asset is access to proprietary information for mission-critical intelligence, we view data-sharing agreements between brokers and/or competing market intelligence platforms, as a few of the largest brokerages attempted in 2011, as the largest risk to the franchise. While the fragmented nature of CRE brokerage makes this a difficult undertaking, with the 2011 discussions having fallen through, we believe it remains the most dire threat.

Aside from exogenous threats, the largest source of uncertainty currently facing the firm is the scope of capital deployed in the Homes.com business. While the possibility of capturing greater top-of-funnel search volume and building a network effect in residential real estate could present meaningful upside, the level of investment thus far has yielded uninspiring results, and further effort, absent a meaningful inflection, may begin to come at the expense of sufficient reinvestment in the core business.

The firm's risk profile is partly mitigated by its highly stable, recurring revenue model. The firm has consistently demonstrated remarkable resilience across varied market environments, as evidenced by 60 consecutive quarters of double-digit revenue growth and a decline of only 1% during the heat of the Global Financial Crisis in 2009. We believe the business has become even more insulated since then by acquiring and scaling businesses such as Apartments.com and Ten-X, which exhibit some degree of countercyclicality.

From an environmental, social, and governance perspective, we see the chief risks revolving around potential regulatory action, as the lack of true replacements for Costar's breadth and depth of data quality grants immense pricing power, but excessive price increases may eventually invite regulators to crack down on the firm.

Capital Allocation Austin Taggart, CFA, Equity Analyst, 6 May 2026

We assign CoStar Group a Standard Morningstar Capital Allocation Rating. We believe the firm's balance sheet is sound, its capital investment decisions are fair, and its capital return strategy is appropriate.

Considering these in sequence, the company is in solid financial health, operating with a net cash position while requiring negative net working capital to operate. The modest debt load the firm does carry is exclusively fixed-rate, with a meager 2.8% interest rate and a 2029 maturity. Given that the firm has operated for long stretches historically with zero debt on its balance sheet, has a strong credit rating, and has almost exclusively operated with net cash positioning, we remain confident that the firm is unlikely to take on an onerous debt load at a high interest rate after it comes due, although it would be in a fine position to service a higher debt load given the largely subscription-based nature of its

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revenue, some countercyclical business lines, and strong operating cash flows.

Turning to investments, Costar has proven highly adept at acquiring, with a long track record of successful bolt-on acquisitions, including LoopNet, Apartments.com, and Ten-X. Looking ahead, the focal points of management's investment deployment are in residential real estate, most notably Homes.com. Though the results of this expanded capital deployment have been a bit disappointing thus far, we note that the company has not slowed its investment in the core franchise to fund the push, which gives us confidence in the franchise's resilience to reward shareholders even in a particularly bearish scenario for Homes.com's growth. Further, the total addressable market in single-family residential real estate is materially larger than in multifamily, and, combined with the synergies of capturing more top-of-funnel volume to bolster its competitive positioning in multi-family search, we believe the upside of capturing this opportunity could prove to be seismic, even if uncertain. Until more concrete evidence emerges indicating that a true inflection point has occurred, we view the capital spent as excessive, leading us to conclude that a Standard rating is more appropriate than Exemplary.

Lastly, looking at capital return, the firm does not currently pay a dividend and historically has not repurchased a large percentage of shares, though that has evolved a bit recently after the firm instituted a $500 million share repurchase plan in November 2025, followed by another plan of up to $1.5 billion in December 2025. Rather than return capital through these avenues, management has preferred to reward shareholders by investing in organic growth in the core business and by regularly making bolt-on acquisitions, with the occasional large acquisition.

Analyst Notes Archive

Costar Group Earnings: Homes.com Remains a Wildcard Amid Otherwise Strong Earnings Sean Dunlop, CFA,Director,29 Apr 2026

CoStar Group reported solid first-quarter results, with revenue expanding 23% to $897 million, adjusted EBITDA roughly doubling from the year-ago period to $132 million. Still, the firm's shares trended slightly lower in aftermarket trading as investors remain concerned about Homes.com investments. Why it matters: We maintain that concerns over Homes.com are overblown, with our stance being that either the investment will work out by management's criteria, achieving breakeven adjusted EBITDA by 2030 (with declining losses in the interim), or that CEO Andrew Florance and the management team will be forced to abandon the efforts if they're unable to generate tangible results in relatively short order. As a result, market concerns regarding the stock, which has shed more than half of its value during the past six months, seem overly pessimistic to us. The core CoStar Suite, Apartments.com, and LoopNet franchises remain very profitable and continue to grow quickly, underpinning a reasonable investment case for the firm, in our view. Homes.com is set to burn through $550 million in EBITDA in 2026, suggesting that the rest of the business is operating at around a 35% adjusted EBITDA margin today. With a relatively high fixed-cost base, we see no structural reason why the firm couldn't achieve closer

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to 40% adjusted EBITDA margins over time if it's able to turn around the fledgling residential business. The bottom line: As we digest the quarterly results, we lower our fair value estimate for wide-moat CoStar to $66 per share from $76. This is entirely attributable to recalibrating our cost of capital to better align with our global coverage (as we now assign the firm an 8.3% cost of capital, up from 7.4% previously). Without this, we would have raised our fair value estimate by a low-single-digit percentage.

CoStar Group Earnings: Residential Businesses Remain a Key Long-Term Concern Despite Solid Results Sean Dunlop, CFA,Director,25 Feb 2026

CoStar posted decent fourth-quarter results, with revenue growing 27% from the year-ago period while adjusted earnings per share rose 19%. Still, shares fell about 7% in after-hours trading due to weaker-than-expected first-quarter 2026 guidance. Why it matters: While overinvestment in Homes.com remains a long-term concern, we think the market is overreacting to the lackluster short-term guidance that management issued for the first quarter. We view the full-year guidance for $3.8 billion in revenue and $770 million in adjusted EBITDA (at midpoints) as reasonable, and are confident in our forecast for both strong top-line growth and expanding margins in both 2026 and over the decade to come. The residential segment continues to drag on overall company results, with little to show for significant cumulative investments since its 2021 acquisition. Today, Homes.com comprises just 3% of the overall business, although management believes that it will become much larger, generating about $5 billion in revenue within the next decade. Absent significant traction here in 2026-27, we'd prefer to see the firm curtail investment or explore a divestiture of the business, although we understand the strategic impetus for investment in winner-take-all or winner-take-most marketplace end markets. The bottom line: Despite the market reaction, we plan to maintain our $76 per share fair value estimate for wide-moat CoStar after incorporating fourth-quarter results and management's updated guidance, seeing little that would change our constructive long-term view. In the short term, our 2026 revenue and adjusted EBITDA forecasts are already in line with guidance. Longer-term, we believe that CoStar can drive over 10% annual revenue growth and improve profitability over the next decade, driven by price increases in its core CRE segment, improving Homes.com and residential segment results, and strategic acquisitions, which have historically been value-accretive.

CoStar Group: Struggling Residential Business Attracts Warranted Scrutiny but Shares Still Cheap Sean Dunlop, CFA,Director,9 Feb 2026

In recent weeks, Dan Loeb's Third Point fund and D.E. Shaw have written scathing letters to CoStar's management demanding a shakeup of the board of directors and a shift in business strategy as the real estate firm continues to invest heavily in its struggling residential real estate businesses. Why it matters: The scale of investment is significant, with Loeb estimating $5 billion in cumulative investment toward the strategy, which is less differentiated than CoStar's core commercial real estate, or CRE, businesses. For scale, that's roughly a quarter of the firm's current market capitalization. It's hard not to

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admit that there is some basis to the claims made by the frustrated investors. Even after the firm committed to trim its spending on residential real estate, or RRE, by $300 million in 2026, the drag on EBITDA remains significant, with $550 million of remaining investments representing 42% of adjusted EBITDA across the remainder of the business. While more investment discipline is warranted, and while the Homes.com acquisition has been value dilutive in hindsight, we're not yet ready to write off the RRE segment entirely, particularly given CoStar's more constructive January 2026 activity disclosures. The bottom line: As we incorporate the company's new 2026 guidance, which points toward significantly slower RRE growth than we'd expected and a four-year route to breakeven EBITDA on an adjusted basis, we've lowered our fair value estimate for wide-moat CoStar to $76 per share from $81. We've also raised our Uncertainty Rating to High from Medium, consistent with our quantitative tool recommendation, and lowered our Capital Allocation to Standard from Exemplary. Our revised forecast calls for slower revenue growth, averaging 11.9% annually over the decade (from 12.5% previously), driven entirely by slower RRE growth. We now expect adjusted EBITDA margins of 39% over the next decade (down from 42% previously), driven by operating deleverage.

CoStar Earnings: Profitability in Core CRE Business Outperforms, Net New Bookings Remain Solid

Suryansh Sharma,Director,29 Oct 2025

CoStar posted an impressive set of numbers in the third quarter as the firm completed its Domain acquisition, net new sales remain solid, and profitability in the core information and marketplace businesses outperformed our expectations. Why it matters: The highlight of the quarter for us was the 47% adjusted EBITDA margin in commercial information and marketplace businesses. This marks an increase of around 400 basis points on a sequential and year-over-year basis and is materially higher than our expectations. Strong profitability in the core commercial real estate business is a reflection of the firm's strong competitive positioning and the inherent operating leverage in the business. CRE businesses should support the firm's aggressive residential investments for several years. Net new sales bookings, which are an indicator of future revenue growth, were reported at $84 million, down sequentially but up 92% year over year. The bottom line: We plan on maintaining our $82 per share fair value estimate for wide-moat-rated CoStar after incorporating third-quarter results, and believe that shares are fairly valued. The firm's CRE businesses have a long runway of growth ahead, but investors should not expect durable organic double-digit growth from mature CRE businesses. Long view: The fight with Zillow to become the leading residential marketplace in the US will continue to weigh on the margin profile of the firm and will drive stock performance in the short term. CoStar's Domain acquisition is more evidence that the firm is in the residential business for the long run and will continue to support strong investments to gain share. Key stats: Overall revenue growth accelerated to 20.3% on a year-over-year basis during the third quarter, primarily on the back of recent Matterport and Domain acquisitions, and steady growth in CRE-related businesses.

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CoStar Earnings: Revenue Growth Accelerates As Firm Records Strong Net New Bookings Suryansh Sharma,Director,23 Jul 2025

CoStar posted a good set of numbers for the second quarter as the firm reported net new sales bookings, which is an indicator of future revenue growth, of $93 million. Second-quarter net new bookings were 65% higher on a sequential basis. Why it matters: Residential revenue currently constitutes less than 4% of the firm's overall revenue, but the residential business is key to long-term performance and profitability potential. We estimate that CoStar's quarterly run-rate for residential investments in 2025 will be greater than $200 million. While management likes to talk about peak residential investment, we think that the firm will have to invest continuously for several years as competition with Zillow intensifies. Homes.com traffic was at 111 million average monthly unique visitors during the second quarter. This compares with 227 million for Zillow, 62 million for Realtor.com, and 46 million for Redfin. The bottom line: We plan to maintain our $82 per share fair value estimate for wide-moat-rated CoStar after incorporating second-quarter results. We believe the shares are fairly valued at this time. The firm's adjusted EBITDA margin was recorded at 11% during the quarter. But the consolidated number masks the profitability of the firm's core information and marketplace businesses, which delivered a 43% adjusted EBITDA margin during the second quarter. Long view: The fight with Zillow to become the leading residential marketplace in the US will continue to weigh on the company's near-to-medium term margin profile. While the residential investments may weigh on profitability in the near to medium term, we think the investments will be value accretive in the long run. Key stats: Overall revenue growth accelerated to 15.2% on a year-over-year basis during the second quarter, primarily due to steady growth in the firm's Multifamily and CoStar segments as well as contributions from acquisitions.

CoStar Earnings: Steady Progress in Residential Business as Fight With Zillow Intensifies Suryansh Sharma,Director,30 Apr 2025

CoStar posted a decent set of numbers in the first quarter as the firm showed steady progress in its Homes.com investments and the fight with Zillow to become the leading residential marketplace in the US intensifies. Why it matters: Zillow has been investing aggressively in its multifamily listing platform over the past two years to challenge Apartments.com and has almost doubled its revenue. Apartments.com has lost some traffic share but remains the leader in this space, with higher-quality traffic. The quality and the stickiness of Homes.com traffic have been improving as evidenced by its unaided awareness, which has increased steadily to 36%. This compares with 60% for Zillow. Homes.com traffic was at 104 million average monthly unique visitors during the first quarter. This compares with 204 million for Zillow, 62 million for Realtor.com, and 43 million for Redfin. The bottom line: We plan on maintaining our $82 per share fair value estimate for wide-moat-rated CoStar after incorporating first-quarter results and believe that shares are fairly valued. The company's competitive

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positioning is as strong as it's ever been, with its core commercial information and marketplace businesses delivering a 43% adjusted EBITDA margin within a weak commercial real estate environment. Long view: CoStar has created an enormous amount of value through acquisitions. We think that the recent acquisition strategy justifies the firm's Exemplary Morningstar Capital Allocation Rating. Matterport acquisition was closed in the first quarter, and the firm plans to aggressively invest in Matterport and integrate its capabilities with all its products. CoStar made an all-cash offer for Domain Holdings, which is the second-largest residential listing platform in Australia behind REA Group. CoStar's game plan with Domain is to leverage its scale, residential research and development investments, and financial muscle to become the leading player in Australia.

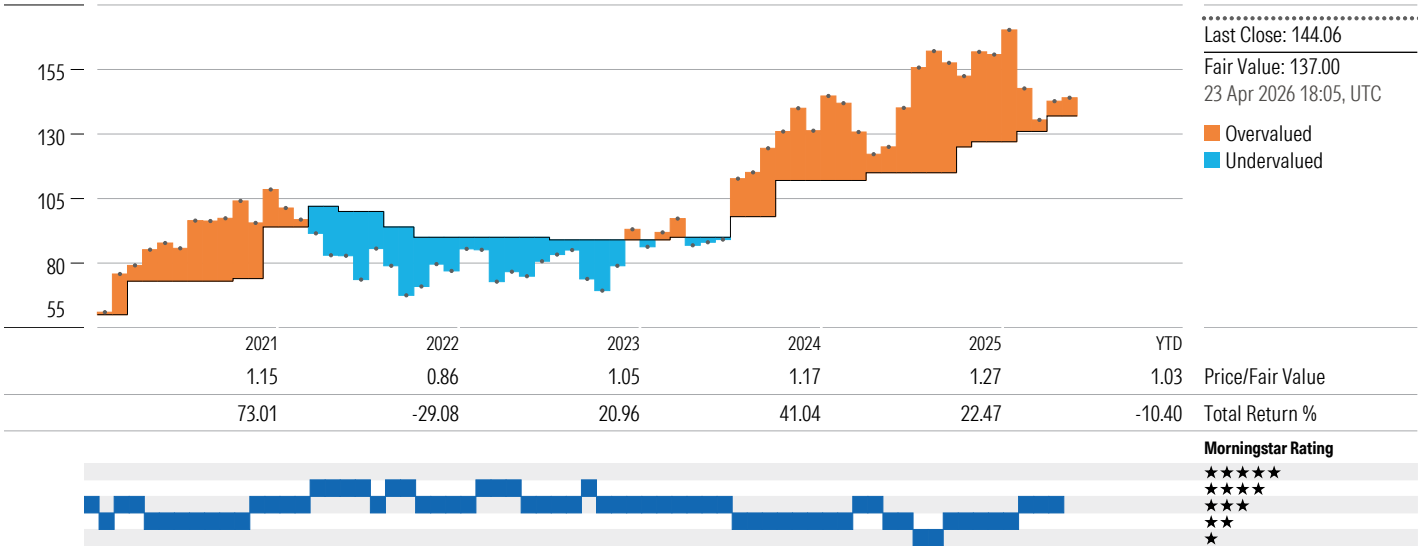
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Competitors Price vs. Fair Value

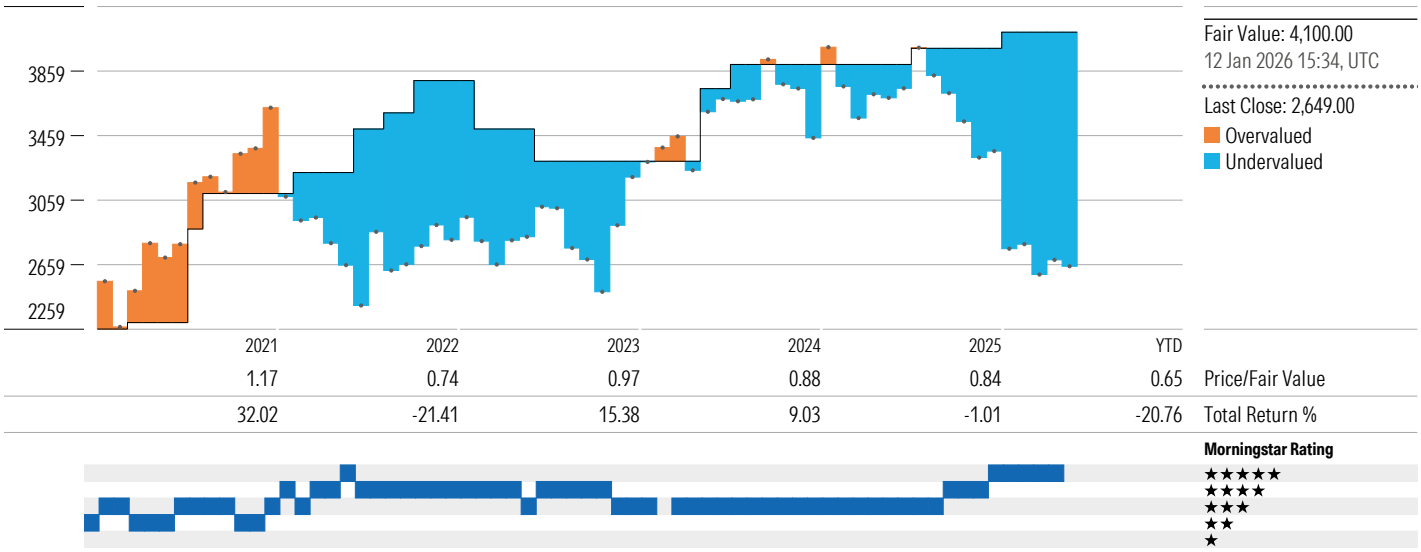
CBRE Group Inc Class A CBRE



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.15	0.86	1.05	1.17	1.27	1.03
Total Return %	73.01	-29.08	20.96	41.04	22.47	-10.40

Total Return % as of 12 May 2026. Last Close as of 12 May 2026. Fair Value as of 23 Apr 2026 18:05, UTC.

Experian PLC EXPN



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.17	0.74	0.97	0.88	0.84	0.65
Total Return %	32.02	-21.41	15.38	9.03	-1.01	-20.76

Total Return % as of 12 May 2026. Last Close as of 12 May 2026. Fair Value as of 12 Jan 2026 15:34, UTC.

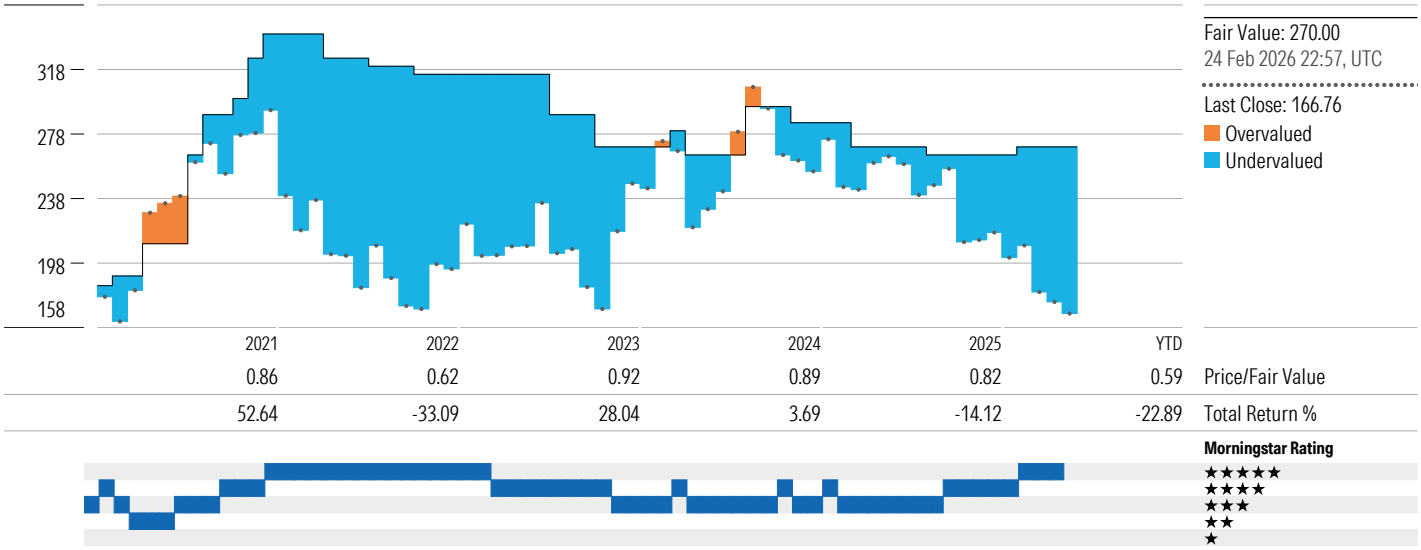
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CoStar Group Inc CSGP ★★★★★ 13 May 2026 21:24, UTC

Competitors Price vs. Fair Value

Equifax Inc EFX



	2021	2022	2023	2024	2025	YTD	
	0.86	0.62	0.92	0.89	0.82	0.59	Price/Fair Value
	52.64	-33.09	28.04	3.69	-14.12	-22.89	Total Return %

Total Return % as of 12 May 2026. Last Close as of 12 May 2026. Fair Value as of 24 Feb 2026 22:57, UTC.

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Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
33.05 USD 12 May 2026	57.00 USD 6 May 2026 07:56, UTC	0.56	13.06 USD Bil 13 May 2026	Narrow	Mid Growth	High	Standard	13 May 2026 05:00, UTC

Morningstar Valuation Model Summary

Financials as of 05 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	2,455	2,736	3,247	3,798	4,312	4,912	5,546	6,266
Operating Income (USD Mil)	282	5	-72	283	537	780	1,036	1,352
EBITDA (USD Mil)	396	144	183	612	882	1,133	1,392	1,691
Adjusted EBITDA (USD Mil)	493	241	442	821	1,106	1,374	1,653	1,972
Net Income (USD Mil)	375	139	7	218	403	585	777	1,013
Adjusted Net Income (USD Mil)	873	436	371	787	1,171	1,554	1,956	2,433
Free Cash Flow To The Firm (USD Mil)	64	-704	-2,317	264	599	447	582	778
Weighted Average Diluted Shares Outstanding (Mil)	407	408	421	412	406	398	388	375
Earnings Per Share (Diluted) (USD)	0.92	0.34	0.02	0.53	0.99	1.47	2.00	2.70
Adjusted Earnings Per Share (Diluted) (USD)	1.22	0.73	0.87	1.91	2.88	3.91	5.05	6.48
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 05 May 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	3.1	11.5	0.2	-2.2	7.4	12.5	15.9	18.7	21.6	15.2
EBITDA Margin %	—	16.1	5.3	5.6	16.1	20.5	23.1	25.1	27.0	—
Adjusted EBITDA Margin %	—	20.1	8.8	13.6	21.6	25.7	28.0	29.8	31.5	27.3
Net Margin %	6.9	15.3	5.1	0.2	5.8	9.3	11.9	14.0	16.2	11.4
Adjusted Net Margin %	21.0	35.6	15.9	11.4	20.7	27.2	31.6	35.3	38.8	30.7
Free Cash Flow To The Firm Margin %	-31.5	2.6	-25.7	-71.4	6.9	13.9	9.1	10.5	12.4	10.6

Growth & Ratios as of 05 May 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	14.2	12.5	11.5	18.7	17.0	13.5	13.9	12.9	13.0	14.1
Operating Income Growth %	—	-37.5	-98.2	-1540.0	-492.9	89.8	45.4	32.8	30.5	—
EBITDA Growth %	-23.2	-33.1	-63.6	27.1	234.7	44.0	28.4	22.9	21.5	70.3
Adjusted EBITDA Growth %	-13.0	-26.6	-51.1	83.4	85.8	34.7	24.3	20.3	19.3	34.9
Earnings Per Share Growth %	—	-1.1	-63.0	-94.1	2545.8	87.4	48.2	36.4	34.7	166.7
Adjusted Earnings Per Share Growth %	—	-3.9	-40.2	19.2	119.3	51.2	35.5	29.2	28.5	166.7

Valuation as of 05 May 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	71.6	98.1	77.3	16.7	11.1	8.2	6.3	4.9
Price/Sales	14.5	10.7	8.7	3.4	3.0	2.7	2.4	2.1
Price/Book	4.8	3.9	3.4	1.7	1.6	1.6	1.5	1.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	64.0	105.8	61.9	15.9	11.8	9.5	7.9	6.6
EV/EBIT	111.9	5,097.8	-379.8	46.1	24.3	16.7	12.6	9.6
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 05 May 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	4.2	1.5	0.1	2.2	3.9	5.6	7.2	9.2
ROE %	5.1	1.8	0.1	2.8	5.0	7.2	9.3	11.7
ROIC %	9.8	6.3	3.8	4.6	5.7	7.3	8.9	10.9

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CoStar Group Inc CSGP ★★★★★ 13 May 2026 21:24, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
33.05 USD 12 May 2026	57.00 USD 6 May 2026 07:56, UTC	0.56	13.06 USD Bil 13 May 2026	Narrow	Mid Growth	High	Standard	13 May 2026 05:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	3.0	3.8	4.0	3.8	3.6	3.4	3.2	3.1
Assets/Equity	1.2	1.2	1.3	1.3	1.3	1.3	1.3	1.3
Net Debt/EBITDA	-10.4	-24.5	-2.5	-0.4	-0.7	-0.7	-0.8	-0.8
Total Debt/EBITDA	2.3	4.8	2.7	1.2	0.9	0.7	0.6	0.5
EBITDA/ Net Interest Expense	-2.3	-1.1	-4.0	-36.6	-107.6	-97.6	-82.5	-74.0

Forecast Revisions as of 5 May 2026	2026		2027		2028	
Prior data as of 28 Apr 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	57.00	66.16	—	—	—	—
Revenue (USD Mil)	3,798	3,800	4,312	4,418	4,912	4,981
Operating Income (USD Mil)	283	74	537	298	780	598
EBITDA (USD Mil)	821	796	1,106	904	1,374	1,151
Net Income (USD Mil)	787	523	1,171	679	1,554	840
Earnings Per Share (Diluted) (USD)	0.53	0.35	0.99	0.68	1.47	1.23
Adjusted Earnings Per Share (Diluted) (USD)	1.91	1.28	2.88	1.71	3.91	2.18
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 05 May 2026

Cost of Equity %	8.4
Pre-Tax Cost of Debt %	5.4
Weighted Average Cost of Capital %	8.3
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	8.9
Stage II Investment Rate %	66.1
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 05 May 2026

	USD Mil
Present Value Stage I	4,756
Present Value Stage II	1,914
Present Value Stage III	15,059
Total Firm Value	**21,729**
Cash and Equivalents	1,733
Debt	993
Other Adjustments	0
Equity Value	**22,469**
Projected Diluted Shares	404
Fair Value per Share (USD)	**57.00**

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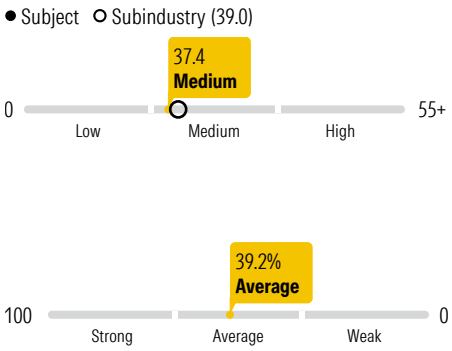
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CoStar Group Inc CSGP ★★★★★ 13 May 2026 21:24, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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ESG Risk Rating Breakdown

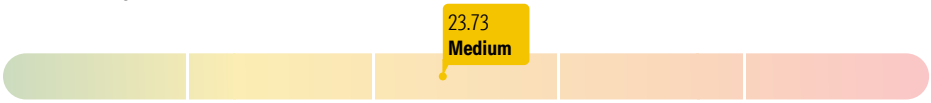
Exposure	
Company Exposure[1]	37.4
– Manageable Risk	34.7
Unmanageable Risk[2]	**2.7**
Management	
Manageable Risk	34.7
– Managed Risk[3]	13.6
Management Gap[4]	**21.1**
Overall Unmanaged Risk	**23.7**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 39.2% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 13, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Internet Software and Services. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 13 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
CoStar Group Inc	37.4 | Medium	0	55+	39.2 | Average	100	0	23.7 | Medium	0	40+
CBRE Group Inc	23.3 | Low	0	55+	62.8 | Strong	100	0	8.9 | Negligible	0	40+
Equifax Inc	38.0 | Medium	0	55+	49.8 | Average	100	0	20.1 | Medium	0	40+
Experian PLC	34.2 | Low	0	55+	65.3 | Strong	100	0	13.1 | Low	0	40+
Howard Hughes Holdings Inc	38.3 | Medium	0	55+	49.2 | Average	100	0	20.0 | Medium	0	40+

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Appendix

Historical Morningstar Rating

CoStar Group Inc CSGP 13 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★★	★★★★★	★★★★★	★★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★

CBRE Group Inc Class A CBRE 13 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★	★	★★	★★	★★★	★★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★	★★★

Experian PLC EXPN 12 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	—	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★	★★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★★	★★★	★★★	★★★	★★	★★	★★	★★★	★★★	★★

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Equifax Inc EFX 13 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★★	★★★★★	★★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★	★★	★★	★★★	★★★★	★★★

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

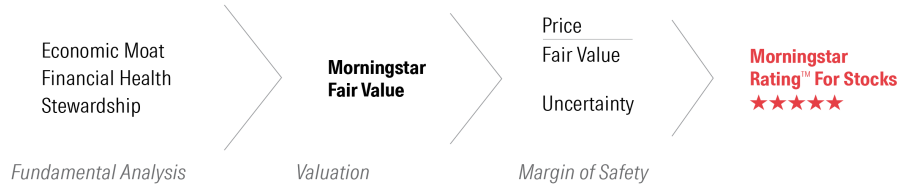
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

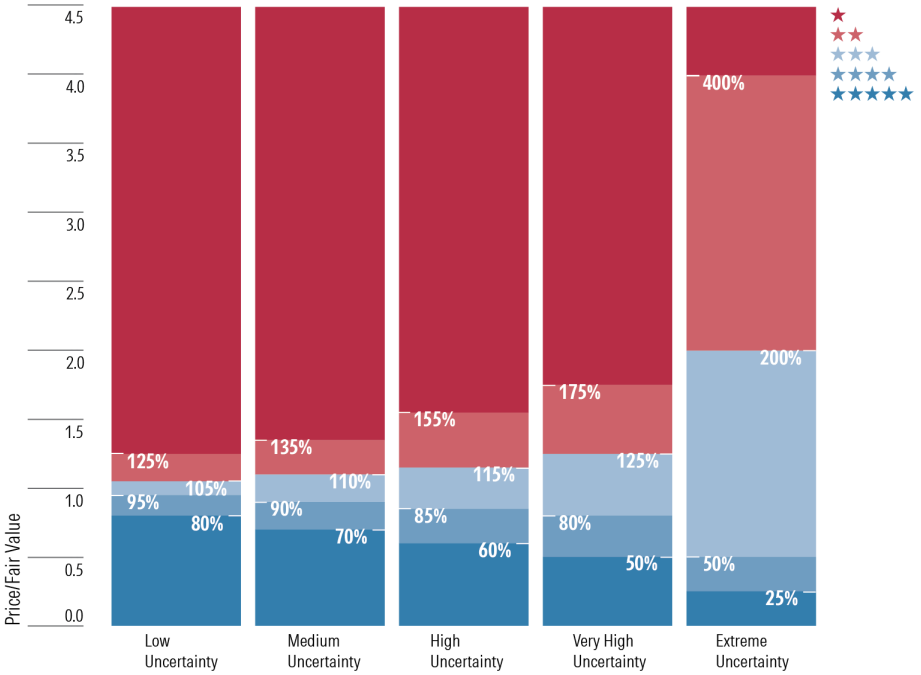
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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